

The Walt Disney Company (DIS)

Q4 FY25 Earnings Review - strong FY25 finish, noisy Q4 comps, and larger FY26 capital return plan

Rating	12-mo price target	FY25 adjusted EPS	Data cutoff
Outperform	\$135	\$5.93	Nov. 13, 2025 earnings release

Investment view

We remain constructive on DIS after the Q4 FY25 release. The quarter itself was mixed - revenue was roughly flat, total segment operating income declined 5%, and adjusted EPS declined 3% - but the full-year trajectory was stronger: FY25 revenue rose 3% to \$94.4bn, total segment operating income rose 12% to \$17.6bn, adjusted EPS rose 19% to \$5.93, and free cash flow rose 18% to \$10.1bn.

The key debate is quality and durability. Q4 Entertainment was pressured by a tough theatrical comparison against Inside Out 2 and Deadpool & Wolverine in the prior-year quarter, but DTC operating income still rose 39% to \$352mm. Experiences posted record full-year segment operating income of \$10.0bn, while Sports delivered 20% full-year operating income growth despite rights-cost and ESPN DTC launch costs. Management also set a shareholder-return marker for FY26 with a \$7bn repurchase target and a \$1.50 per-share dividend.

This note uses only information available in the Q4 FY25 earnings release and intentionally excludes current stock price, market capitalization, implied upside, and other post-release market data.

Key takeaways

- FY25 operating progress was broad: Entertainment operating income rose 19%, Sports rose 20%, and Experiences rose 8%.
- Q4 was weaker at the segment level, primarily from Entertainment theatrical and linear pressures; total segment operating income declined 5%.
- DTC is now a meaningful profit contributor: Entertainment DTC operating income reached \$1.3bn for FY25 versus \$143mm in FY24.
- Experiences remains the highest-quality growth engine, with record FY25 segment operating income of \$10.0bn and Q4 OI up 13%.
- FY26 guidance supports the earnings recovery narrative: double-digit adjusted EPS growth, \$19bn CFO, \$9bn capex, and \$7bn repurchases.

Bottom line

We rate DIS Outperform with an illustrative \$135 12-month price target. The target is derived from an analyst-style framework that applies roughly 19x to an illustrative FY27E adjusted EPS assumption of about \$7.10, reflecting management guidance for double-digit adjusted EPS growth in FY26 and FY27. This valuation framing is based on company-released information and analyst assumptions; it does not use any current stock price or post-release market data.

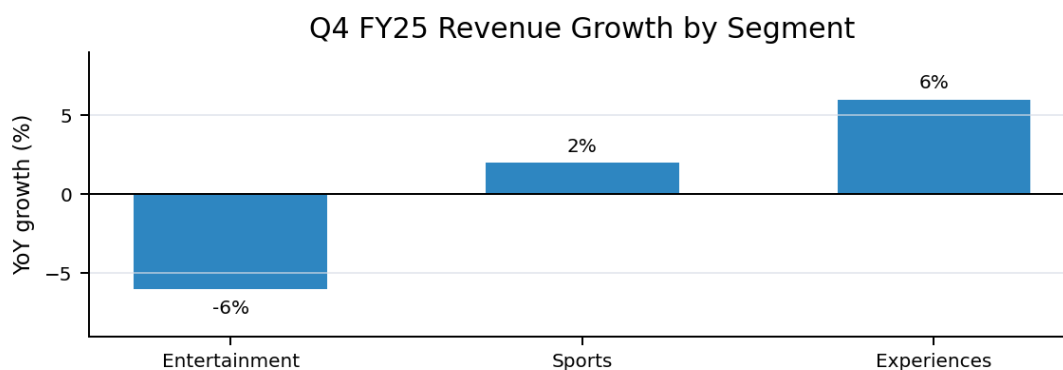
Quarterly and full-year scorecard

Q4 was a noisy finish, but FY25 showed continued recovery in profitability and cash generation. Adjusted EPS fell 3% in Q4 but rose 19% for the year, and full-year free cash flow increased despite a substantial rise in capex.

Metric	Q4 FY25	Q4 FY24	YoY	FY25	FY24	YoY
Revenue	\$22.5bn	\$22.6bn	Flat	\$94.4bn	\$91.4bn	3%
Income before taxes	\$2.0bn	\$0.9bn	>100%	\$12.0bn	\$7.6bn	59%
Segment operating income	\$3.5bn	\$3.7bn	(5%)	\$17.6bn	\$15.6bn	12%
Diluted EPS	\$0.73	\$0.25	>100%	\$6.85	\$2.72	>100%
Adjusted EPS	\$1.11	\$1.14	(3%)	\$5.93	\$4.97	19%
Cash provided by operations	\$4.5bn	\$5.5bn	(19%)	\$18.1bn	\$14.0bn	30%
Free cash flow	\$2.6bn	\$4.0bn	(37%)	\$10.1bn	\$8.6bn	18%

What mattered most

- Full-year segment operating income rose 12%, offsetting a 5% decline in Q4 segment operating income.
- Full-year adjusted EPS of \$5.93 slightly exceeded the \$5.85 guide that management gave with Q3 results.
- Q4 cash flow was weaker year over year, but FY25 cash from operations rose 30% and FY25 free cash flow rose 18%.
- The FY26 framework includes double-digit adjusted EPS growth, but management noted the fourth quarter of FY26 has a 53rd week and guidance excludes that extra-week benefit.

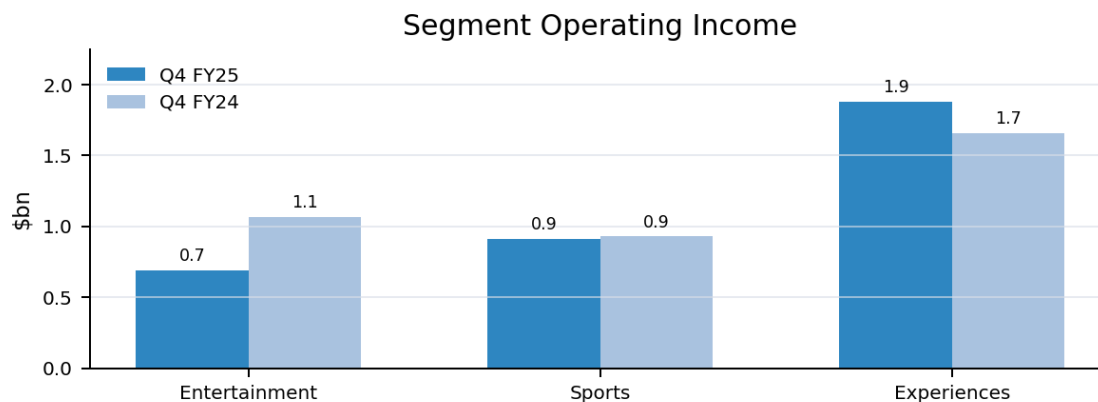


Source: Company Q4 FY25 earnings release, summarized financial and segment results.

Segment snapshot

The Q4 mix was bifurcated: Experiences grew profitably, Sports was roughly stable, and Entertainment was pressured by studio comparisons and linear declines. The full-year view is more constructive across all three segments.

Segment	Q4 revenue	Revenue YoY	Q4 op. income	Op. income YoY	FY op. income	Analyst read-through
Entertainment	\$10.2bn	(6%)	\$0.7bn	(35%)	\$4.7bn (+19%)	DTC profit improved, but theatrical and linear comparisons weighed on Q4.
Sports	\$4.0bn	2%	\$0.9bn	(2%)	\$2.9bn (+20%)	Ad and affiliate revenue helped, but ESPN launch and rights costs pressured Q4.
Experiences	\$8.8bn	6%	\$1.9bn	13%	\$10.0bn (+8%)	Record FY profit; international parks and cruise drove Q4 strength.



Segment implications

- Entertainment should be analyzed through both DTC profitability and studio slate timing; the Q4 decline was concentrated in non-DTC lines.
- Sports profitability is more resilient than feared on a full-year basis, but the ESPN DTC launch and sports rights inflation limit near-term operating leverage.
- Experiences remains Disney's clearest compounding asset: annual operating income approached \$10bn despite higher cruise and park investment.

Deep dive: Entertainment and DTC

Entertainment fell sharply in Q4, but the decline should not be read as a streaming deterioration. The DTC line continued to improve, while theatrical distribution and linear advertising were the main drags.

DTC / Entertainment metrics	Q4 FY25	Prior period / Q4 FY24	Change
DTC revenue	\$6.2bn	\$5.8bn	8% YoY
DTC operating income	\$352mm	\$253mm	39% YoY
FY DTC operating income	\$1.3bn	\$143mm	>100% YoY
Disney+ subscribers	131.6mm	127.8mm	3% q/q
Hulu subscribers	64.1mm	55.5mm	15% q/q
Disney+ ARPU	\$8.04	\$7.86	2% q/q
Hulu SVOD ARPU	\$12.20	\$12.40	(2%) q/q
Linear Networks OI	\$391mm	\$498mm	(21%) YoY
Content Sales/Licensing OI	\$(52)mm	\$316mm	Down YoY

DTC profit bridge is improving

- Subscription revenue grew on higher effective rates and subscriber gains, while the absence of Star India subscription revenue reduced reported comparability.
- Q4 ended with 196mm combined Disney+ and Hulu subscriptions, up 12.4mm sequentially; Disney+ subscribers rose 3.8mm sequentially to 131.6mm.
- Advertising revenue was comparable year over year as higher impressions offset lower rates and the absence of Star India advertising revenue.

Studio and linear volatility drove the Q4 segment decline

Content Sales/Licensing and Other revenue fell 26%, and operating income moved to a \$52mm loss from \$316mm of income. The current quarter included The Fantastic Four: First Steps, The Roses, Freakier Friday, and carry-over from Lilo & Stitch, while the prior-year quarter benefited from Deadpool & Wolverine and carry-over from Inside Out 2.

Linear Networks operating income declined 21% to \$391mm. Domestic linear OI declined 5% on lower advertising and affiliate revenue, and international results were adversely affected by the Star India transaction.

Deep dive: Sports and Experiences

Sports was stable but carried transition costs from ESPN DTC, while Experiences continued to produce record profit and tangible operating growth.

Metric	Q4 FY25	Q4 FY24 / prior	Change / read-through
Sports revenue	\$4.0bn	\$3.9bn	2% YoY
Sports operating income	\$911mm	\$929mm	(2%) YoY
Domestic ESPN operating income	\$908mm	\$936mm	(3%) YoY
Domestic ESPN ad revenue	Not disclosed in \$	Prior year	8% YoY growth
Experiences revenue	\$8.8bn	\$8.2bn	6% YoY
Experiences operating income	\$1.9bn	\$1.7bn	13% YoY
Domestic Parks & Experiences OI	\$920mm	\$847mm	9% YoY
International Parks & Experiences OI	\$375mm	\$299mm	25% YoY
Consumer Products OI	\$583mm	\$513mm	14% YoY

Sports: transition costs and rights inflation

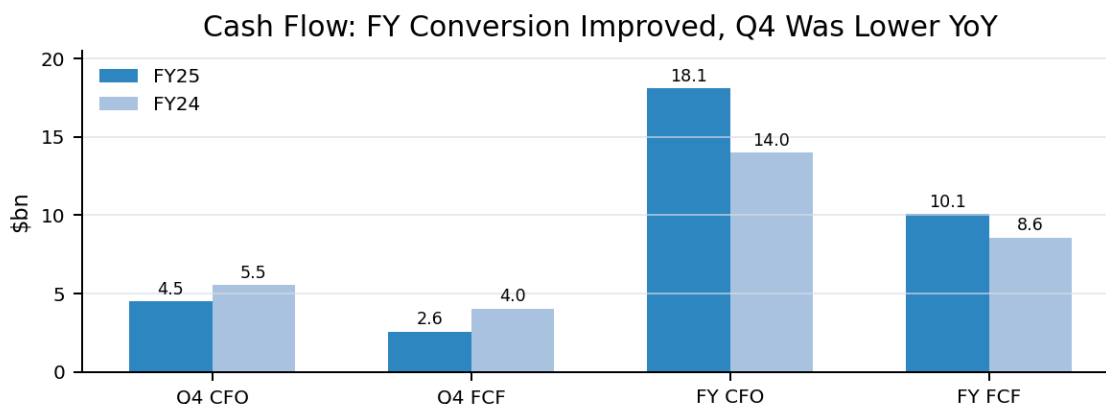
- Domestic ESPN operating income declined 3%, reflecting higher marketing costs tied to the August 2025 ESPN DTC launch and higher programming costs from contractual rate increases and new sports rights.
- Advertising revenue grew on higher impressions and rates, while subscription and affiliate revenue improved on higher effective rates and the comparison to a temporary carriage suspension in the prior-year quarter.

Experiences: record profit with cruise-led domestic growth

- Domestic Parks & Experiences operating income increased 9%, driven by Disney Cruise Line growth from higher passenger cruise days, partly offset by fleet-expansion costs.
- International Parks & Experiences operating income rose 25%, primarily driven by Disneyland Paris, with higher attendance and guest spending offsetting new-offering costs.
- Consumer Products operating income grew 14% on higher licensing revenue.

Cash flow, balance sheet, and valuation framing

FY25 cash generation improved despite a much heavier investment cycle. The main analytical adjustment is that cash from operations benefited from tax payment timing, while capex increased materially due to cruise fleet expansion and park investment.



Cash / balance sheet item	FY25 / Q4 FY25	Comment
FY cash provided by operations	\$18.1bn	+30% YoY; tax timing helped
FY free cash flow	\$10.1bn	+18% YoY
FY capex	\$8.0bn	Up \$2.6bn; cruise fleet and attractions
Q4 free cash flow	\$2.6bn	(37%) YoY
Cash & equivalents	\$5.7bn	At September 27, 2025
Total borrowings	\$42.0bn	Current + long-term borrowings
FY share repurchases	\$3.5bn	FY26 target doubles to \$7bn
FY dividends paid	\$1.8bn	Board declared \$1.50 per share for FY26

Valuation framing

The illustrative \$135 price target applies roughly 19x to an FY27E adjusted EPS assumption of about \$7.10. This framework gives credit for DTC margin expansion, durable Experiences growth, rising capital returns, and improved full-year Sports profitability, while recognizing higher capex, sports rights inflation, linear network pressure, and studio slate volatility. No current stock price, market capitalization, or implied upside is shown.

Outlook, catalysts, and risks

Management provided a multi-year growth framework that keeps the EPS recovery central to the investment case. The FY26 guide is not free of investment spending - capex remains elevated, cruise pre-opening and dry dock expenses are sizable, and Sports growth is weighted to Q4 - but the capital return plan increased meaningfully.

Catalyst / debate	Why it matters
FY26 double-digit adjusted EPS growth	Establishes a growth bridge from FY25 adjusted EPS of \$5.93.
FY27 double-digit adjusted EPS growth	Extends the earnings-growth framework beyond the next fiscal year.
Entertainment DTC SVOD 10% margin in FY26	Clear streaming profitability target; management expects Entertainment segment OI growth weighted to 2H.
Sports low-single-digit OI growth in FY26	Rights-expense timing weighs on Q2 and Q3, with growth weighted to Q4.
Experiences high-single-digit OI growth in FY26	Growth weighted to 2H despite cruise pre-opening and dry dock costs.
\$19bn FY26 CFO and \$9bn capex	Cash generation remains strong, but investment requirements stay elevated.
\$7bn FY26 repurchase target and \$1.50 dividend	Material step-up in shareholder returns versus FY25.

Key risks

- Studio slate volatility: Q4 showed how difficult comparisons can overwhelm DTC progress inside Entertainment.
- Linear advertising and affiliate pressure: viewership, political advertising comparisons, and cord-cutting remain structural headwinds.
- Sports cost inflation: the ESPN DTC transition adds marketing costs while rights fees continue to rise.
- Experiences cyclical: parks and cruise demand are exposed to discretionary spending, travel, and macro shocks.
- Capex and tax timing: FY26 guidance includes \$9bn of capex and CFO includes the impact of \$1.7bn of taxes deferred from FY25 to FY26.

Conclusion

Q4 FY25 was not a clean beat-style quarter, but the full-year evidence supports the Disney recovery thesis. FY25 delivered stronger adjusted EPS, segment operating income, and free cash flow, while DTC profitability became more material and Experiences reached record profit. The FY26 and FY27 EPS growth framework, plus a larger repurchase target, support an Outperform rating in this analyst-style framework despite ongoing linear, sports-cost, slate, and investment-spend risks.

Important note: This illustrative analyst-style research note is prepared only from information available in the Q4 FY25 earnings release dated November 13, 2025. It intentionally excludes current market price, market capitalization, implied upside, and post-release market data. It is not personalized investment advice.